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Manual of Procurement of Goods & Services

DISCLAIMER: *This booklet has been prepared strictly from an examination point of view. While every effort has been made to ensure accuracy and the inclusion of recent changes, amendments, and updates to the relevant Acts, Rules, and Regulations, this document is intended as a study aid only. Readers and students are strongly recommended to refer to official government sources or gazettes for the most reliable and authoritative information.*

Manual for Procurement of Goods & Services

1. Introduction & Statutory Framework

- Ministries / Departments have been delegated full powers to make their own arrangements for procurement of goods and services that are NOT available on the Government e-Marketplace (GeM).
- These powers must be exercised as per the Delegation of Financial Power Rules (DFPR), 2024 and in conformity with the Procurement Guidelines described in this Manual.

Common-use Goods and Services available on GeM are required to be procured **mandatorily** through GeM as per **Rule 149 of GFR, 2017**.

Definition of "Goods"

The term 'goods' includes all articles, material, commodity, livestock, medicines, furniture, fixtures, raw material, consumables, spare parts, instruments, machinery, equipment, industrial plants, vehicles, aircraft, ships, railway rolling stock, assemblies, sub-assemblies, accessories, a group of machines comprising an integrated production process, or such other goods (but excludes books, publications, periodicals etc. for a library), or intangible products like software, technology transfer, licences, patents or other intellectual properties procured or otherwise acquired by a procuring entity.

Procurement of goods may include certain small work or services incidental or consequential to supply — such as transportation, insurance, installation, commissioning, training and maintenance (**Rule 143 of GFR, 2017**).

A Competent Authority (CA) competent to incur expenditure may sanction the purchase of goods required for use in public service in accordance with the DFPR by following the Procurement Guidelines (**Rule 145 of GFR, 2017**).

Categorisation of Procurements

The three broad categories of procurement are:

- (a) Goods
- (b) Services — (i) Consultancy Services and (ii) Non-consultancy Services
- (c) Works

Goods vs. Works

The main difference between Goods and Works is the place of manufacture/execution:

- Goods are manufactured at the supplier's own premises (excluding installation / commissioning at site).
- Works are executed on the premises of the procuring entity (excluding pre-fabricated components manufactured off-site).
- Works may include incidental Goods, and vice-versa.

Consultancy vs. Non-Consultancy Services

- Consultancy involves a predominant intellectual input; output is one-off, non-routine, and neither precisely measurable nor standardised.
- Non-consultancy services are repetitive routines with measurable, standardised outputs.
- IT projects are usually procured as Consultancy Services because deliverables vary from one service provider to another. Examples include tailor-made software development, cloud-based services, and composite IT system integration (design, development, deployment, hardware supply, bandwidth, O&M after go-live etc.).

Basic Aims of Procurement – The Five R's

The 5 R's of Procurement

- ① Right Quality ② Right Quantity ③ Right Price ④ Right Time and Place
⑤ Right Source

2. Fundamental Principles of Public Procurement

General Financial Rules, 2017 (Rule 144) lay down the Fundamental Principles of Public Procurement.

Transparency Principle

- All procuring authorities are responsible and accountable for ensuring transparency, fairness, equality, competition and appeal rights.
- This involves simultaneous, symmetric and unrestricted dissemination of information to all likely bidders, sufficient for them to know and understand the bidding opportunities, the actual means, processes, and the time limits prescribed

for registration, bidding, evaluation, grievance redressal, award and contract management.

All procuring entities must invite offers through a fair and transparent procedure and ensure publication of all relevant information on the **Central Public Procurement Portal (CPPP)** – www.eprocure.gov.in as well as on GeM.

Professionalism Principle

- Procuring authorities are responsible and accountable for ensuring professionalism, economy, efficiency, effectiveness and integrity in the procurement process.
- They must avoid wasteful, dilatory and improper practices that violate the Code of Integrity for Public Procurement (CIPP).

3. Purchase Preference for MSEs

Under the amended **Public Procurement Policy for MSEs, Order 2012** (notified under the MSMED Act, 2006; mandatory w.e.f. 01.04.2015; further amended in 2018, 2021 and 2022), all Central Government Ministries / Departments / CPSUs shall procure a minimum of **25 per cent** of their total annual value of goods or services from MSEs.

Sub-Targets within the 25% Mandate

- 4% of annual procurement from MSEs is earmarked for MSEs owned by Scheduled Caste (SC) / Scheduled Tribe (ST) entrepreneurs.
- 3% of annual procurement from MSEs is earmarked for MSEs owned by Women entrepreneurs (vide Order dated 09.11.2018).

Price Matching Facility — "L1 + 15%" Band

If the L1 (lowest) price in a tender is from someone other than an MSE, participating MSEs quoting prices within a price band of **L1 + 15%** shall be allowed to supply **at least 25%** of the total tendered value by bringing their price down to the L1 price.

- If more than one eligible MSE matches L1 within this band, the 25% quantity is distributed proportionately.
- Where the tender item cannot be split or divided, an MSE quoting within the L1 + 15% band may be awarded the FULL/COMPLETE supply of the total tendered value, in keeping with the spirit of the Policy.

CORRECTION FROM EARLIER NOTES

Older study material sometimes wrote this band as "L15%". The correct expression is **L1 + 15%** — i.e., MSE quotes that are up to 15% above the L1 price are eligible to match L1 and supply at least 25% of the tendered quantity.

Timely Payments to MSEs (MSMED Act, 2006 — Chapter V)

The agreed payment period must not exceed **45 days** from the date of deemed acceptance of the materials supplied by the MSME.

If there are discrepancies in the supplies, the Procuring Entity must raise an objection **within 15 days** from the date of receipt of materials. Failing this, deemed acceptance is presumed.

For delay in payment, the buyer is liable to pay **compound interest** to the supplier on the delayed amount at **three times the bank rate** notified by the Reserve Bank of India.

4. Procurement Preference — Make in India (PPP-MII)

The **Public Procurement (Preference to Make in India) Order, 2017** was issued under Rule 153(iii) of GFR, 2017 by DPIIT to encourage local manufacturing. It has been revised on 28.05.2018, 29.05.2019, 04.06.2020, 16.09.2020 and most recently on **19.07.2024**.

Classification of Local Suppliers (by Local Content)

Class	Local Content Requirement	Eligibility
Class-I Local Supplier	≥ 50%	All procurements
Class-II Local Supplier	> 20% but < 50%	Eligible except where GTE is issued
Non-Local Supplier	≤ 20%	Eligible only in GTE

Margin of Purchase Preference

The **margin of purchase preference is 20%** — i.e., a Class-I local supplier whose quoted price is up to 20% above L1 may be invited to match the L1 price.

KEY CORRECTION

Earlier circulating notes incorrectly mentioned "L10%" as the margin of purchase preference under MII. The correct margin per the PPP-MII Order, 2017 (and reiterated in the revision dated 19.07.2024) is **20% (i.e., L1 + 20%)**, NOT 10%.

Purchase Preference Procedure

- Among all qualified bids, the lowest is termed L1. If L1 is a Class-I local supplier, the contract for the FULL quantity is awarded to L1.

If L1 is NOT a Class-I local supplier, **50%** of the order quantity is awarded to L1, and the remaining **50%** is offered to the lowest Class-I local supplier whose quoted price is within the 20% margin of purchase preference, on condition that the Class-I supplier matches the L1 price.

- If the lowest eligible Class-I local supplier fails to match L1, the next higher Class-I supplier within the 20% margin is invited, and so on.
- If none of the Class-I local suppliers within the margin matches L1, the contract may be awarded to L1.
- If the procuring entity negotiates with an L1 bidder who is NOT a Class-I local supplier, the 20% margin must be calculated on the ORIGINAL L1 price, not the negotiated lower price; eligible Class-I suppliers are then called to match the new negotiated L1 for placement of the 50% quantity.
- Class-II local suppliers do not get a purchase preference; they are only eligible to bid (except in GTE).

Self-certification of local content is required at bidding stage. For all contracts above **₹10 crore**, local content must be certified by a cost / chartered accountant in practice at the time of project execution.

If actual local content falls short and the supplier's class downgrades (Class-I → Class-II/Non-local, or Class-II → Non-local), a penalty of up to **10% of contract value** may be imposed.

Procurement of estimated value **less than ₹5 lakh** is exempt from the PPP-MII Order (no splitting allowed to avoid coverage).

Energy Efficiency (BEE Star Ratings)

To reduce energy consumption without diminishing service value, the Ministry of Finance prescribes the following minimum BEE star ratings:

Appliance	Minimum Star Rating
Split Air Conditioners (annual usage > 1000 hrs)	★★★★★ (5 Star)
Split AC (limited use, e.g., conference rooms)	★★★ (3 Star)
Frost-Free Refrigerators	★★★★ (4 Star)
Ceiling Fans	★★★★★ (5 Star)
Water Heaters	★★★★★ (5 Star)

5. Option Clause in Tenders

Normally, for raw materials / consumables of regular and year-on-year recurrent requirement, ALL tenders of value above **₹50 lakh** should incorporate a plus/minus option clause — typically **± 25%** — reserving the purchaser's right to increase or decrease the quantity, without any change in the rates or terms quoted.

- The Competent Authority may approve inclusion of such a clause in lower-value tenders if the items have a history of frequent supply disruptions.

Standard Wording

"The purchaser reserves the right to increase / decrease the ordered quantity by up to 25 per cent at any time, till the final delivery date (or the extended delivery date) of the contract, by giving reasonable notice — even if the quantity ordered initially has been supplied in full before the last date of the delivery period (or extended delivery period)."

6. Modes of Procurement

Offers in public procurement must be invited through a procedure that balances the widest possible competition against procedural complexity. Different modes are used to suit varying circumstances.

Modes of Procurement — at a Glance

- Open Tenders — (a) Open Tender Enquiry (OTE) and (b) Global Tender Enquiry (GTE)
- Procurement through Selected Suppliers — (a) Limited Tender Enquiry (LTE), (b) Special Limited Tender Enquiry (SLTE)
- Nomination Basis Tenders — (a) Proprietary Article Certificate (PAC), (b) Single Tender Enquiry (STE) without PAC
- Procurement without Calling Tenders — (a) Direct Procurement without Quotation, (b) Direct Procurement by Purchase Committee

Mandatory Procurement of Goods/Services available on GeM (Rule 149 of GFR, 2017)

★ Key Threshold Limits — At-a-Glance Summary

All limits below reflect the **10.07.2024 amendment** (MoF, DoE OM No. F.1/3/2024-PPD).

GFR Rule	Mode of Procurement	Earlier Limit	Revised Limit (w.e.f. 10.07.2024)
149(i)	GeM — Direct on-line purchase from any available supplier	Up to ₹25,000	Up to ₹50,000
149(ii)	GeM — L1 of at least 3 different manufacturers	₹25,000 to ₹5,00,000	₹50,000 to ₹10,00,000
149(iii)	GeM — Mandatory online bidding / reverse auction	Above ₹5,00,000	Above ₹10,00,000

GFR Rule	Mode of Procurement	Earlier Limit	Revised Limit (w.e.f. 10.07.2024)
154	Purchase without Quotation (Petty Purchase)	Up to ₹25,000	Up to ₹50,000
155	Purchase by Local Purchase Committee (3 members)	₹25,000 – ₹2,50,000	₹50,000 – ₹5,00,000
161	Open / Advertised Tender Enquiry (OTE)	₹25 lakh & above	₹50 lakh & above
162	Limited Tender Enquiry (LTE)	Up to ₹25 lakh	Up to ₹50 lakh

EXAM TIP – "Why 10.07.2024?"

On **10.07.2024** the Department of Expenditure (Ministry of Finance) issued OM No. F.1/3/2024-PPD enhancing financial limits in GFRs 133, 139, 149, 154, 155, 161, 162, 173, 183, 201 & 218. The compiled GFR, 2017 was issued on **07.08.2024** and the **Manual of Procurement of Goods (2nd Edition, 2024)** was issued on **16.08.2024** by DoE.

Open Tender Enquiry (OTE)

- In OTE, the widest possible competition is sought by publishing the NIT simultaneously on the designated websites.
- This is the DEFAULT mode of procurement and gives the best Value for Money (VfM), but the procedure is relatively complex and prolonged.

OTE procedures (through e-procurement or traditional tendering) should be adopted in the following situations:

(i) Procurements **exceeding ₹50 lakh** (threshold revised w.e.f. 10.07.2024);

- (ii) All common-use requirements with clear technical specifications;

- (iii) Requirements ordinarily available in the open market where competitive offers must be evaluated;

(iv) When sources are unknown or limited and need broad-basing. **(Rule 161 of GFR, 2017)**

Even for procurements below ₹50 lakh, OTE may be used if warranted.

Terms & Conditions of OTE

- Already-registered bidders are also free to participate.
- Advertisements must be given on GeM as well as on GeM-Central Public Procurement Portal (GeM-CPPP). The procuring entity must also publish on its own website (where one exists) and post the complete bidding document on its website and on GeM-CPPP for free download. The advertisement must give the complete web address. NO cost may be charged for downloaded tender documents (to widen participation).
- Tender documents must be available for download up to the date of opening of tenders. Records of documents sold/downloaded and parties involved must be maintained.

The minimum gap between advertisement date and bid-opening date shall be **21 days**, which may vary with the nature of material and delivery requirements. Extension is permitted with CA approval to promote better competition.

Global Tender Enquiry (GTE)

GTE is similar to OTE but, through advertising and provision for payment in foreign currencies via Letter of Credit, it invites participation of foreign firms. Development of local industry must also be kept in mind. GTE is viable only in:

- (i) Where goods of required specifications/quality are not available within the country, and Indian alternatives are unsuitable;
- (ii) Non-existence of a local branch of the global principal / vendor;
- (iii) Requirement to comply with specific international standards;

(iv) Insufficient number of competent domestic bidders, or suspected cartel formation among indigenous bidders. **(Rule 161 of GFR, 2017)**

Terms & Conditions of GTE

- Advertisements on GeM as well as on GeM-CPPP; also on the procuring entity's own website with free download.
- Tender documents may be priced minimally, considering tender value and cost of preparation/publicity.
- Tender documents must be in English. Bidders may quote and be paid in INR / USD / EUR / GBP / JPY or in any currency from the RBI's notified basket.
- Technical specifications must align with national requirements or international trade standards.
- E-procurement may not be insisted upon mandatorily for GTE.

Minimum gap between advertisement and bid opening = **4 weeks** (extendable with CA approval).

Important: No GTE is to be invited for procurements **up to ₹200 crore** (or such limit as may be prescribed by DoE from time to time) — refer DoE OM dated 03.08.2021. If no Indian manufacturer/supplier is found, GTE may be done after compliance of GFR and GeM provisions.

Limited Tender Enquiry (LTE)

- LTE is a restricted-competition procurement, where a pre-selected panel of vendors (on the registered-supplier list) is directly approached for bidding for goods/services not on GeM.
- Bids from uninvited bidders are treated as unsolicited and are normally not entertained, except in special circumstances.
- This mode provides a short and simple procedure but may not give the same VfM as open tendering — a good balance below the threshold.

LTE is the default mode when the estimated value of procurement is **up to ₹50 lakh** (limit revised w.e.f. 10.07.2024 — Rule 162 of GFR).

Terms & Conditions of LTE

- Bidding documents must be sent free of cost (except priced specifications/drawings) directly by speed post / courier / e-mail to firms which are registered vendors/contractors. The Procuring Entity must mandatorily publish its limited tender enquiries on the CPPP.

- Apart from CPPP, organisations should publish tender enquiries on the Department's / Ministry's website.

A simplified single-page Bid Document should be used. The minimum number of bidders to whom LTE must be sent is **more than three**. If fewer than three approved vendors are available, LTE may be sent to the available approved vendors with CA approval, recording reasons. The Supplier Registration section is to develop more sources.

Adequate time for quote submission — not less than **3 weeks** (can be extended to **6 weeks** for imports or in justified complex cases).

- Since selected bidders are normally registered with the Procuring Entity, Bid Security and Performance Security are usually NOT taken in LTE.

Special Limited Tender Enquiry (SLTE)

LTE mode, even for values higher than ₹50 lakh (where OTE would normally apply), is permissible in certain special circumstances under **Rule 162 of GFR, 2017**. The Schedule of Procurement Power (SoPP) may lay down powers to sanction LTE in such cases, supported by a certificate of urgency signed by the indenter.

This mode is quicker but may yield lower VfM than OTE — to be restricted to rare situations:

- (i) The CA certifies an existing or prospective urgency for operational/technical requirements and that any additional expenditure from not advertising is justified by the urgency. The Ministry/Department must record the nature of the urgency and reasons why it could not be anticipated.
- (ii) There are sufficient reasons (recorded in writing by the CA) that advertising would not be in public interest.
- (iii) Sources of supply are definitely known and the possibility of fresh sources beyond those tapped is remote.
- (iv) Pre-verification of firm competence is essential, requiring registration; or Government policy designates procurement from specific agencies.

Proprietary Article Certificate (PAC)

- Certain items are procured only from Original Equipment Manufacturers (OEMs) or manufacturers with proprietary rights (or their authorised dealers/stockists), against a PAC certificate signed by the appropriate authority.
- Once a PAC is signed at the designated SoPP level, the powers of procurement are the same as in normal conditions per the delegation of powers.
- This mode may be the shortest, but as it provides lesser VfM than LTE/OTE and strains transparency, it should be used only in justifiable situations.

No item should be procured on PAC basis for **more than 3 years**, after which a mandatory OTE must be done to test the market.

Single Tender Enquiry (STE) without PAC

A tender invited from one firm only without a PAC certificate is called a Single Tender. This mode is the shortest but may provide lesser VfM than LTE/OTE and strain the transparency principle. Resorted to only under:

- Existing or prospective emergency relating to operational/technical requirements (certified by indenter), where the goods must necessarily be purchased from a particular source — reasons recorded and CA approval obtained.

Standardisation of machinery / components / spare parts to be compatible with existing equipment (on advice of a competent technical expert and approved by CA), where the goods must come from a selected firm. **(Rule 166 of GFR, 2017)**

Drawals against Rate Contract (RC) / Framework Contract (FC)

- RC is essentially a price agreement with vendors/contractors at specified prices and terms during the period covered by the RC.
- No quantity is mentioned and no minimum commitment is guaranteed in the RC.
- RC is most frequently used in goods procurement, but can also be used mutatis mutandis in works, services and consultancy — where it is commonly known as a Framework Contract (FC).
- RC is NOT to be executed for common-use items like computers, printers, photocopiers, paper and stationery, furniture, bottled water, etc. — these are placed on GeM. RC now applies only to specialised and engineering items NOT available on GeM, identified as common-use items needed on a recurring basis by various Central Government Ministries / Departments.

Direct Procurement without Quotation (Petty Purchase)

- Direct procurement without formal quotations is normally done for the smallest-value procurements. Also called petty purchase. Used for off-the-shelf goods of simple, standard specifications when the goods are not available on GeM.

It is mandatory for the buyer to generate a **"GeM Availability Report and Past Transaction Summary" (GeMAR&PTS)** with a unique ID on the GeM portal using their login credentials, for any procurement outside GeM.

This procedure is the simplest and quickest, but VfM may be poor — suitable only in low-value, urgent and simple requirements:

Each requirement does not exceed **₹50,000** per case (revised from ₹25,000 w.e.f. 10.07.2024);

- The requirement is urgent but not covered in the procurement plan;

The requirement is for off-the-shelf goods of simple, standard specifications (e.g., day-to-day office needs). **(Rule 154 of GFR, 2017)**

Direct Procurement by Local Purchase Committee

Where a certain item is not available on the GeM portal, purchase of goods costing **above ₹50,000 and up to ₹5,00,000** on each occasion may be made on the recommendations of a duly-constituted **Local Purchase Committee (LPC)** of three members of an appropriate level decided by the Head of the Department. **(Rule 155 of GFR, 2017 — w.e.f. 10.07.2024)**

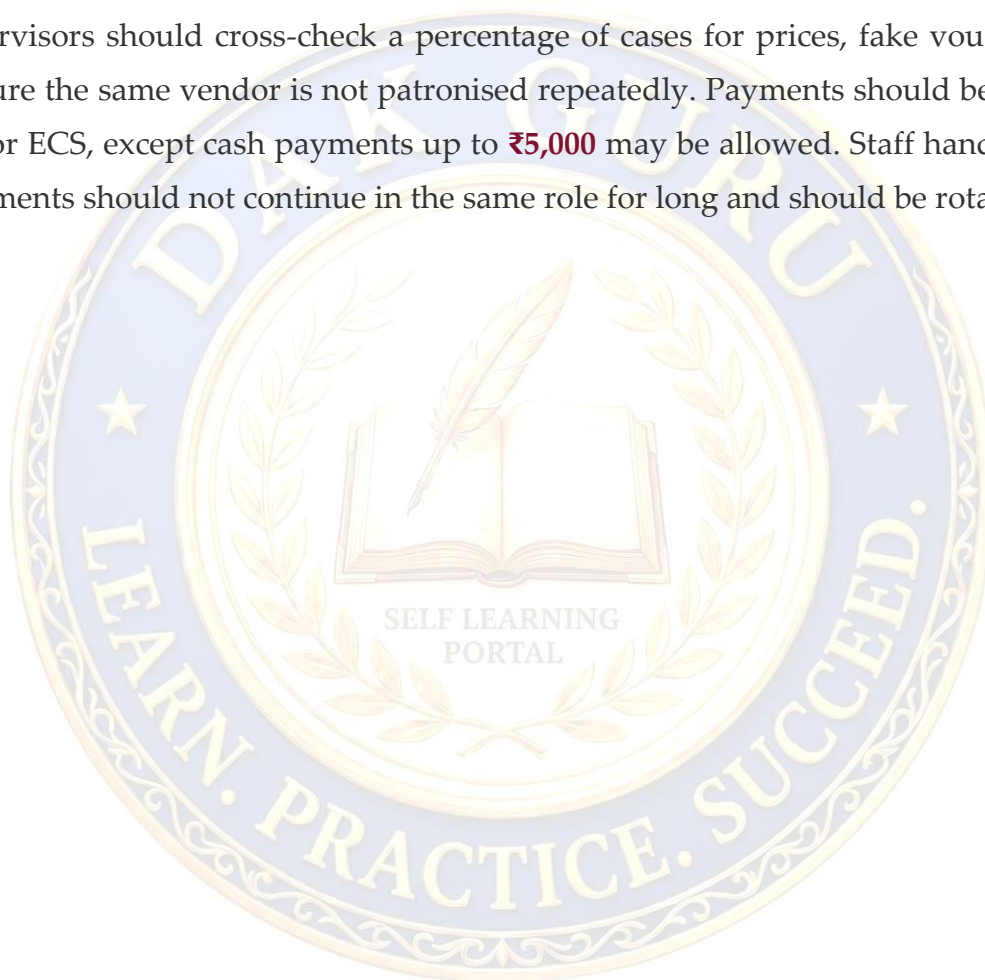
Terms & Conditions

- (i) The competent officer of the procuring entity may initiate and complete the purchase after diligent enquiries from the market and filling the prescribed certificate.
- (ii) Such powers, to a limited extent, can also be given to user sections for operational needs.
- (iii) Normally an imprest amount (with cheque-payment facility) sufficient for **two months'** estimated procurements may be sanctioned for such officers.
- (iv) The imprest is recouped monthly on submission of expense vouchers.
- (v) Records (in summary form) should be kept of vendors approached and prices indicated.
- (vi) Selection of seller through diligent market enquiry is the essence of this mode.

- (vii) In larger cities, reputed shopping malls and reputed online portals may also be explored.
- (viii) Supervisors must periodically review such procurements to ensure demands are not split into small quantities solely to avoid higher-authority sanction or LTE/OTE.

(ix) An annual ceiling — say **₹5 lakh** per office per year — may be fixed for better control. Each office should maintain records to monitor such limits.

(x) Supervisors should cross-check a percentage of cases for prices, fake vouchers etc., and ensure the same vendor is not patronised repeatedly. Payments should be made by cheque or ECS, except cash payments up to **₹5,000** may be allowed. Staff handling such procurements should not continue in the same role for long and should be rotated.



7. Bidding Systems

- Bidding systems are designed to balance the countervailing needs of Right Quality, Right Source and Right Price under different complexities of technical requirement and value of procurement.
- In critical and complex requirements, the technical and financial capability of the source becomes a key determinant of VfM.
- Depending on technical complexity, source criticality, and value, the following bidding systems may be used.

Single-Stage Bidding System

- All bids are invited together in a single envelope or in a multiple-envelopes system.
- Suitable where technical requirements are simple/moderate, source capability is not crucial, and value is not too high.

Single-Stage Two-Envelope System (Two-Bid System) — Rule 163 of GFR

- In technically complex requirements where source capability is still not crucial and value is not low, a two-envelope system is followed.
- Tenderers bifurcate their quotations into two envelopes:
 - **Envelope 1** — Techno-commercial bid: eligibility, technical quality and performance, commercial terms and conditions, and other documents — EXCLUDING price and financial details.
 - **Envelope 2** — Financial bid: price quotation along with other financial details.
- Both envelopes are to be submitted together in a sealed outer envelope.
- If required, technical specifications and techno-commercial conditions may be modified in a pre-bid conference; it is desirable not to invite fresh financial bids after opening the techno-commercial bids.
- On bid-opening date and time, techno-commercial bids are opened first, scrutinised and evaluated by the Technical Committee against parameters in the tender; responsive, eligible and technically-compliant bidders are decided.
- Thereafter, on a pre-announced date and time, financial bids of ONLY the techno-commercially compliant offers are opened for further scrutiny, evaluation, ranking and contract placement.
- Financial bids of technically non-compliant bidders are returned UNOPENED by registered AD / reliable courier / mode with proof of delivery.

- In e-Procurement, financial bids of technically non-compliant offers do not get opened.

Two-Stage Bidding — Expression of Interest (EoI) — Rule 164 of GFR

- Used where the equipment / plant to be procured is of complex nature and the procuring organisation may not have full knowledge of available technical solutions or sources.
- To ensure transparency and VfM while upgrading technology and capacity, EoI bids are invited and the market is explored to finalise specifications via discussions / presentations with experienced manufacturers / suppliers.

EoI may be invited when:

- It is not feasible for the procuring entity to formulate detailed specifications or identify specific characteristics without inputs from bidders;
- The subject matter is subject to rapid technological advances or market fluctuations;
- The procuring entity seeks a contract for research, experiment, study or development (except where the contract includes commercial-quantity production or recovery of R&D costs);

The bidder is expected to carry out a detailed survey or investigation and undertake a comprehensive assessment of risks, costs and obligations. **(Rule 164 of GFR, 2017)**

Electronic Procurement (e-Procurement)

- It is mandatory for Ministries / Departments to receive ALL bids through e-procurement portals for all procurements.
- Ministries / Departments without large procurement volumes may use the e-procurement solution developed by NIC.
- Other Ministries / Departments may either use NIC's solution or engage any other service provider through due process.
- In individual cases involving national security and strategic confidentiality, Ministries / Departments may exempt cases from e-procurement after seeking approval of the concerned Secretary with concurrence of Financial Advisers.

Electronic Reverse Auction (RA)

- Electronic Reverse Auction is a dynamic procurement method where the starting price, bid decrement, duration, and maximum number of automatic extensions are announced before start.

- If required, RA may be preceded by an e-Procurement stage of eligibility / Pre-Qualified Bidder (PQB) shortlisting.
- Shortlisted bidders bid online in an iterative process: the lowest bidder at any moment can be displaced by an even lower bid within the duration of the RA.

If a new lower bid arrives within the last few minutes (say **2 minutes**) of the closing time, closing time may automatically extend by a few minutes (say **5 minutes**) for others to respond. Maximum number of such extensions may be stipulated (say **5**).

- The most-favourable bid at the end of the stipulated / extended time is declared successful.
- CVC has authorised Departments / organisations to decide on RA for purchases or sales and work out detailed procedure, ensuring transparency and fairness throughout.

When to Use Reverse Auction

- Items must be selected carefully. Strategic, critical, vital, in-short-supply or few-supplier items are NOT good candidates for RA.
- RA suits commodity-like items, COTS items, items with a large number of suppliers, and high-value procurements.
- It must be feasible for the procuring entity to formulate a detailed description of the subject matter.
- There must be a competitive market of bidders qualified to participate, ensuring effective competition.
- The successful-bid-determination criteria must be quantifiable and expressible in monetary terms.
- Where pre-qualification of bidders is necessary, RA may be carried out after a separate PQB process among the successful bidders only.

8. Government e-Marketplace (GeM) — Rule 149 of GFR

- An online marketplace (e-commerce marketplace) is a site where products / services are offered by multiple sellers and buyers select based on their own criteria.
- In an online marketplace, buyer transactions are processed by the marketplace operator while products / services are delivered by the participating retailers.
- Other capabilities may include forward / reverse auctioning, catalogues, ordering, posting of requirements, payment gateways etc.
- Because online marketplaces aggregate products from many providers, selection is wider, availability is higher, and prices are more competitive than vendor-specific online retail.
- The Ministry of Commerce has developed the Government e-Marketplace (GeM) for common-use goods and services. GeM is a 100% Government-owned National Public Procurement Portal — a Section 8 (non-profit) company under the Companies Act, 2013.
- Procurement on GeM is end-to-end — from supply order to supplier payment — entirely electronic and online.

Procurement of Goods and Services by Ministries / Departments is MANDATORY for goods or services available on GeM, as per **Rule 149 of GFR, 2017**.

Direct On-Line Purchase Limits on GeM (w.e.f. 10.07.2024)

Slab	Procurement Procedure
Up to ₹50,000	From ANY available supplier on GeM meeting requisite quality, specification, and delivery period.
Above ₹50,000 to ₹10,00,000	From the GeM Seller having lowest price (L1) among available sellers, of at least 3 different manufacturers, meeting requisite quality, specification, and delivery period. Online bidding / reverse-auction tools on GeM may be used even below ₹10 lakh.
Above ₹10,00,000	From the supplier having lowest price meeting the requisite quality, specification, and delivery period — after

Slab	Procurement Procedure
	MANDATORILY obtaining bids using online bidding or reverse-auction tools on GeM.
Automobiles	Direct purchase ceiling continues at ₹30 lakh (no change under the 10.07.2024 amendment).

Special provision — Scientific & Educational Institutions

For Scientific Ministries / Departments / Organisations (DST, DBT, DSIR, DAE, DoS, MoES, DRDO, ICAR, DHR/ICMR including affiliated institutions and Universities, post-graduate / doctoral / research educational institutes), enhanced direct-purchase limits apply per DoE OM dated 18.07.2024 (e.g., direct purchase up to ₹1,00,000 on GeM, in place of ₹50,000).

- The invitation for online e-bidding / reverse auction is available to all existing sellers and other registered sellers on the portal who have offered goods/services under the relevant product/service category, per GeM terms and conditions.
- These monetary ceilings apply only for purchases through GeM. For purchases outside GeM, relevant GFR rules apply.

Ministries / Departments shall work out their procurement requirements on either **OPEX or CAPEX** model at the time of preparation of Budget Estimates (BE) and project their Annual Procurement Plan of goods and services on the GeM portal within **30 days** of Budget approval.

- Government buyers may ascertain reasonableness of prices using GeM's Business Analytics (BA) tools — including the Last Purchase Price (LPP) on GeM, the Department's own LPP, etc.
- A demand for goods shall NOT be divided into small quantities to make piecemeal purchases to avoid procurement through L-1 buying / bidding / reverse auction on GeM, or to avoid sanction of higher authorities required for the total estimated value of the demand.

9. Bid Documents — Preparation, Publication, Receipt & Opening

Essential Contents of a Bid Document

- Description of the subject matter of procurement, its specifications including nature, quantity, time, and place(s) of delivery.
- Limitations or preferences for participation by bidders in terms of Government policies.
- Eligibility and qualification criteria — the eligibility criteria address the supplier's right to receive a Government contract; qualification criteria address past performance, experience, technical competence, production capacity, financial strength, environmental compliance / EMS, etc.
- There must be NO qualifications that would advantage foreign-manufactured goods at the cost of domestically manufactured goods.
- Procedure, date, time, and place for obtaining, submitting, and opening bids.
- Terms of delivery / completion.

Provisions enabling a bidder to question bidding conditions, bidding process and/or bid rejection, with a time-frame for the procuring entity to address those questions. **(Rule 173(iv) of GFR, 2017)**

- Criteria for determining responsiveness of bids, evaluation factors on a common platform, and contract-award criteria for the responsive most-advantageous bidder.
- Standard Bidding Documents (SBDs) should include a clause that "if a firm quotes NIL charges/consideration, the bid shall be treated as unresponsive and will not be considered".

Suitable provision for settlement of disputes from the resultant contract. **(Rule 173(v) of GFR, 2017)**

Essential contract terms, including a suitable clause that the resultant contract will be interpreted under Indian laws. **(Rule 173(vi) of GFR, 2017)**

Tender Documents — General Principles

- The tender document is the fundamental document; after award it becomes part of the contract agreement. ALL provisions governing the contract should be clearly provided here.

- Examples include technical specifications, drawings, commercial terms and conditions, time period, inspection, payment terms, obligations of procuring entity and supplier, time-frame / milestones, tax implications, statutory compliance framework, dispute resolution. Clauses must be unambiguous to avoid time / cost overruns and quality compromises. Model Tender Documents issued by DoE may be used with due customisation.
- Where a tender contains General Conditions of Contract (GCC), additional / special conditions in the tender shall be need-based and specific.
- GCCs should NOT be altered; any changes must be made through Special Conditions of Contract (SCC) only.
- Procuring entities may issue instructions on appropriate delegation of authority for variations and changes in scope.
- Provision of price variation, where appropriate, with the methodology of calculation, must be clearly stipulated in the tender document.
- Technical and Financial eligibility criteria must be clear and fair, having regard to specific procurement circumstances. Appropriate parameters must enable selection of the right type of bidders, balancing quality, time, and cost.
- Open online tendering should be the default to ensure efficiency. Public authorities should keep experience criteria broad-based so that bidders with experience in similar items / goods can participate.
- Pre-bid conferences may be conducted for large-value tenders. Place and time must be mentioned in the tender document and / or publicised through the entity's website / newspaper publication.

Contents of Tender Documents — Rule 168 of GFR

The main sections of the Standard Bidding Document (SBD) are:

- Notice Inviting Tender (NIT)
- Instructions to Bidders (ITB)
- Appendix to Instructions to Bidders (AITB) — instead of modifying the ITB, procurement-specific information should be a separate section
- Eligibility and Qualification Criteria
- Schedule of Requirements

- Technical Specifications (incl. Drawings) and Quality Assurance (Inspections and Tests)
- General Conditions of Contract (GCC)
- Special Conditions of Contract (SCC) — kept as a separate section instead of modifying the GCC every time
- Standard formats — Bid Cover Letter, price schedules, bank guarantees, contract format, etc.

Bid Validity

A bid shall remain valid for the period mentioned in the tender document — **90 days** if not so specified.

Special Conditions in GTE Procurements

- **(a) Currency of bidding:** In GTE tenders, foreign bidders may quote (and be paid) in RBI's notified basket of foreign currencies — USD, EUR, GBP, JPY etc. — in addition to INR; except for expenditure incurred in India (including agency commission, if any), which shall be stated in INR. Indian bidders are to quote in INR only.
- **(b) Agency commission:** The agency commission payable to the Indian Agent (normally not exceeding **5%**) shall not exceed what is specified in the agency agreement (a certified copy of which must be submitted with the bid) between the bidder and the Indian Agent.

Cost & Availability of Tender Documents

Estimated Value of Tender	Tender Document Cost
Below ₹25 lakh	₹500
₹25 lakh to ₹2 crore	₹1,500
₹2 crore to ₹25 crore	₹2,500
₹25 crore to ₹50 crore	₹5,000
Above ₹50 crore	Decided on case-to-case basis

Note: To promote wider participation, NO cost may be charged for tender documents downloaded from the website / CPPP / GeM.

10. Bid Security (Earnest Money) & Performance Security

Bid Security (Earnest Money Deposit — EMD)

Bid security normally ranges between **2% to 5%** of the estimated value of goods to be procured.

EMD is NOT required if tender value is up to **₹5 lakh**.

Where bid security exceeds the threshold (₹5 lakh) — and in case of foreign bidders in GTE — it may be in the form of a bank guarantee (in equivalent foreign exchange for GTE) issued / confirmed by any of the commercial banks in India, in an acceptable form. Forms also include **Insurance Surety Bond, Account Payee Demand Draft, Fixed Deposit Receipt, e-Bank Guarantee or online payment**.

The bid security shall normally remain valid for **45 days** beyond the final bid validity period.

Bid securities of unsuccessful bidders shall be returned at the earliest after expiry of the final bid validity period — and latest by the **30th day** after the award of the contract.

- Bid security of the SUCCESSFUL bidder shall be refunded upon receipt of performance security.

In a two-packet / two-stage tender, bid securities of unsuccessful bidders during the first stage (technical evaluation) shall be returned within **30 days** of declaration of the result of the first stage.

Performance Security — Rule 171 of GFR

- To ensure due performance of the contract, performance security — also called Performance Bank Guarantee (PBG) or Security Deposit (SD) — is to be obtained from the successful bidder awarded the contract.

KEY AMENDMENT — DoE OM dated 01.01.2024

From **01.01.2024**, performance security for procurement of **Goods / Consultancy / Non-Consultancy Services** is **3% to 5%** of the value of contract (revised from earlier 5%–10%, then 3%–10%).

For **Works**, performance security plus security deposit / retention money continues at **3% to 10%** of contract value.

In a scrap tender, the Security Deposit will be **25% of bid value**.

Submission of performance security is NOT necessary for a contract value up to **₹50 lakh**.

Performance security is to be furnished by a specified date — generally **14 to 28 days** after notification of the award — and shall remain valid for **60 days** beyond the date of completion of all contractual obligations of the supplier, including warranty obligations.

Acceptable Forms of Performance Security

- Insurance Surety Bond
- Account Payee Demand Draft
- Fixed Deposit Receipt from a Commercial Bank
- Bank Guarantee (including e-Bank Guarantee) from a Commercial Bank
- Online payment in an acceptable form, safeguarding the purchaser's interest in all respects.

Exemptions from Performance Security

The Procuring Entity may exempt the following from submission of Performance Security (on specific request or otherwise):

- Government Ministries, Departments, attached and subordinate offices, autonomous bodies.
- OEMs in whose favour PAC is issued, in tenders against PAC.

11. Advance Payment

Ordinarily, payments for services rendered or supplies made should be released only AFTER the services/supplies. However, advance payments may be necessary in cases such as:

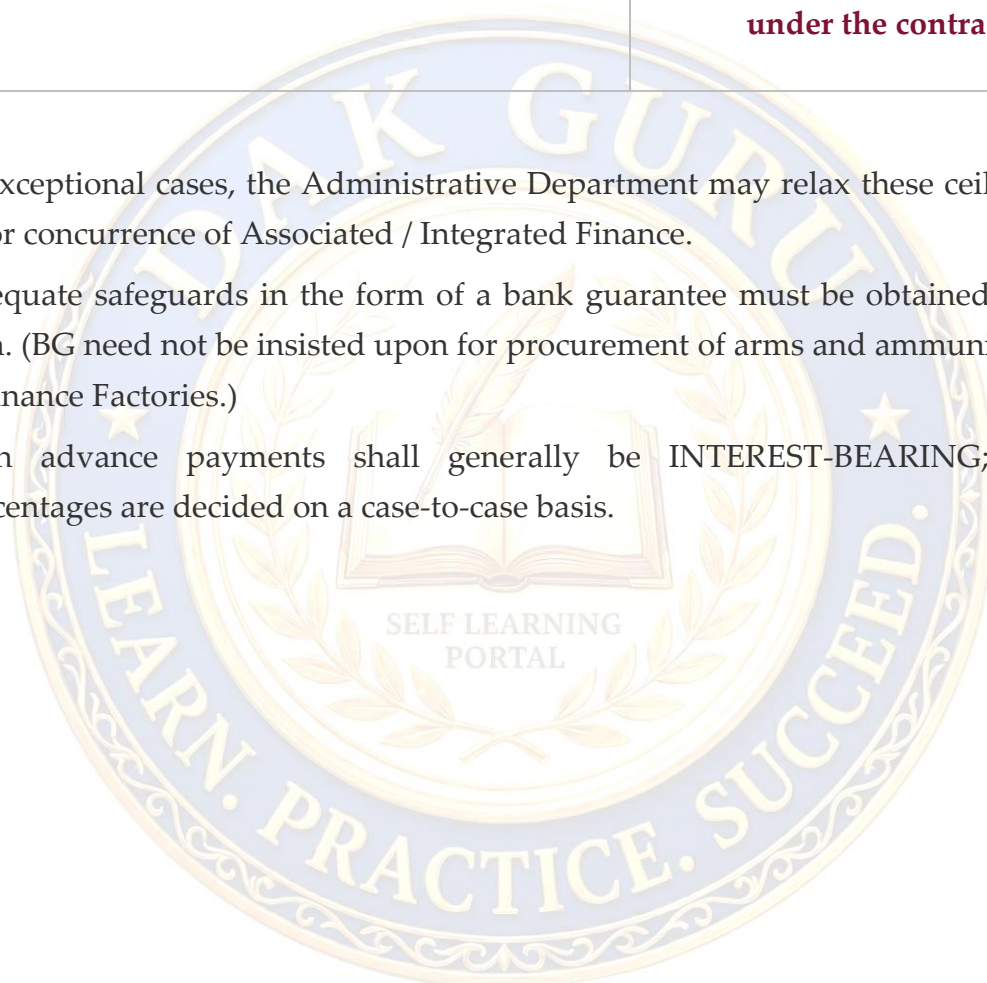
- Maintenance contracts for servicing of air-conditioners, computers, other costly equipment, etc.
- Fabrication contracts, turn-key contracts, and similar.

Ceiling Limits for Advance Payment

Advance payments shall NOT exceed the following limits (except for procurement of arms and ammunition from Ordnance Factories):

Type of Recipient / Contract	Maximum Advance
Private firms	30% of contract value
State / Central Government Agency or PSU	40% of contract value
Maintenance contracts	Amount payable for 6 months under the contract

- In exceptional cases, the Administrative Department may relax these ceilings with prior concurrence of Associated / Integrated Finance.
- Adequate safeguards in the form of a bank guarantee must be obtained from the firm. (BG need not be insisted upon for procurement of arms and ammunition from Ordnance Factories.)
- Such advance payments shall generally be INTEREST-BEARING; suitable percentages are decided on a case-to-case basis.



12. Contract Management

- The purpose of contract management is to ensure that the contract delivers the desired outcomes per its terms and conditions.
- It also ensures that payments to the contractor match performance. Implementation must be strictly monitored, and notices issued promptly whenever a breach occurs.
- Monitoring should ensure: timely deliveries, quality of goods, adherence to invoicing procedures — and that any problems are identified and resolved promptly.
- Without sound monitoring there can be no assurance that "we get what we pay for and pay only for what we get."

Issues Handled During Contract Management

- Amendments to the contract
- Operation of the option clause
- Safeguards for handing over Procuring Entity's materials/equipment to contractors
- Payments to the contractor and handling of securities
- Monitoring of supplier performance
- Delays in performance
- Breach of contract, remedies, and termination
- Dispute resolution
- Contract closure on completion
- Goods receiving, quality assurance, accountal of bills, and storage / issue of inspected goods

Amendment to the Contract

- Once concluded, terms and conditions of a contract should not be varied.
- No amendment that vitiates the original tender decision or bestows undue advantage on the contractor shall be made.
- Where modification becomes necessary / inescapable, it shall be carried out with the prior approval of the CA and concurrence of the Associated / Integrated Finance.

Option Clause (Recap)

- Under this clause, the purchaser retains the right to place orders for an additional quantity up to a specified percentage of the originally contracted quantity at the same rate and terms during the currency of the contract.

Should be part of the Bid Document and contract; ideally not exceeding **25% to 30%**.

For raw materials / consumables of regular and year-on-year recurrent requirements, ALL tenders of value above **₹50 lakh** should invariably include this clause.

Safeguards for Handing Over Procuring Entity Materials / Equipment

- Before final payment or release of PBG/SD, a certificate must be obtained from the concerned Department that the contractor has returned all documents, drawings, protective gear, materials, equipment, facilities, and assets loaned (including ID cards and gate passes) in good condition.

Certification must also confirm payment received from the contractor for usage of electricity, water, crane, accommodation, weighing facility, etc. For low-value items below **₹1 lakh**, or for sending spares for repairs to OEMs, the bank-guarantee stipulation may be waived; if feasible, an indemnity bond may be taken instead.

Payments to the Contractor & Handling of Securities

- All payments due — including release of performance security — must be made on a priority basis without avoidable delay, per tender / contract conditions. Before payment, the invoice must be cross-checked with actual receipt of material to ensure payment matches performance.
- Proper procedures for safe custody, monitoring, and return of bank guarantees must be followed.
- Before final payment or release of the PBG, a 'No Claim Certificate' should be insisted upon from the supplier to prevent future claims.
- Whenever a bank guarantee is released, an acknowledgement must be taken from the contractor.

Delay in Payment to Contractors

Public authorities may put in place a provision for payment of interest in case of delayed payment of bills by more than **30 working days** after submission of bill by the contractor. Where interest is payable, the rate shall be the rate of **General Provident Fund (GPF)**.

Monitoring of Supplier Performance

As soon as the order is issued, an entry shall be made in the progress-of-supply-order register, recording the supplier's name, items, rate, quantity, amount, delivery schedule etc. Monitoring should ensure suppliers adhere to contract terms, performance expectations are achieved (timely deliveries, quality of goods, adherence to proper invoicing procedures), and problems are identified and resolved promptly.

Delivery Period

For raw materials delivered throughout the year, a monthly delivery schedule should be specified. Slight deviations are usual; however, the following deviations are treated as DELAY in delivery and attract Liquidated Damages (LD):

Beyond $\pm 10\%$ in any calendar month;

Beyond $\pm 7\%$ cumulative in any calendar quarter;

Beyond $\pm 5\%$ cumulative in any calendar year.

Force Majeure (FM) Clause

- Force Majeure means extraordinary events or circumstances beyond human control — such as Acts of God (natural calamities), war, strikes, riots, crimes — but NOT including negligence or wrong-doing, predictable / seasonal rain, or any events specifically excluded in the clause.

If performance (whole or part) of any obligation is prevented or delayed by FM for a period exceeding **90 days**, either party may at its option terminate the contract without any financial repercussion on either side.

Liquidated Damages (LD)

Compensation for loss on account of late delivery (actual or notional), where the loss is pre-estimated and mutually agreed, is termed Liquidated Damages. Law allows recovery of pre-estimated loss provided such a term is included in the contract — there is no need to establish actual loss.

Quantum of LD

While granting extension of the delivery period, where stores (or any instalment thereof) are accepted after the original delivery period expires, the CA may recover from the contractor an LD equal to **0.5% (half per cent) per week** (or part thereof) of delay, on the price of the late-delivered portion of stores.

Maximum deduction = **5%** of the total contract value (or any other percentage prescribed in the contract).

In case of inordinate delay, the maximum deduction shall be **10%** of the total contract value.

Inordinate Delays — Inexcusable delays of more than **one-fourth (25%)** of the total completion period are treated as inordinate.



13. Disposal of Scrap / Surplus Goods

The Competent Authority to declare and dispose of scrap material may be laid down in the SoPP, based on the 'Book Value' or **5% of the Original / Market Value** of new goods.

The CA may relax the need for survey by a Survey Committee (SC), as a standing order, in the case of a list of known items of scrap (newspapers, containers etc.) of small value (**₹15,000**).

Modes of Disposal

The mode of disposal is determined by the CA, keeping in view the need to avoid accumulation, blockage of space, and deterioration in value:

Small-value scrap (waste paper, industrial sweepings etc.) up to **₹15,000** in each case may be sold directly to local scrap dealers on a summary-quotation basis.

Scrap up to **₹4 lakh** may be sold on a Limited Tender basis to locally known scrap dealers of the relevant category.

Sale through the e-auction portal, tender for disposal, or traditional public auction is to be resorted to for scrap value above **₹4 lakh**. E-Auction is the PREFERRED mode — using e-Auction platforms of NIC, MSTC, Indian Railways, or any other appropriate portal.

Certain useable machinery / spares may still be useable by other Ministries / Departments / PSUs; these may be transferred at book value plus **20% (7.5% freight + 12.5% handling charges)** directly to the concerned organisation.

14. Quick-Revision Capsule

Most-Tested Threshold Limits (Memorise These!)

Parameter	Limit / Value
Petty purchase without quotation (Rule 154)	Up to ₹50,000
Local Purchase Committee (Rule 155)	₹50,000 to ₹5,00,000
LTE (Rule 162)	Up to ₹50 lakh
OTE / Advertised (Rule 161)	₹50 lakh & above
GeM direct purchase from any seller	Up to ₹50,000
GeM L1 from 3 different manufacturers	₹50,000 to ₹10 lakh
GeM mandatory bidding / RA	Above ₹10 lakh
GTE — no GTE invited up to	₹200 crore (DoE OM 03.08.2021)
Min. gap (advt → bid open) — OTE	21 days
Min. gap (advt → bid open) — GTE	4 weeks
LTE bid-submission time	≥ 3 weeks (6 weeks for imports / complex)
Bid validity (default if not specified)	90 days
Bid security validity (beyond bid validity)	45 days
EMD threshold (no EMD up to)	₹5 lakh
EMD range	2% – 5%
Performance Security — Goods/Services (w.e.f. 01.01.2024)	3% – 5% of contract value
Performance Security — Works	3% – 10% of contract value

Parameter	Limit / Value
Performance Security — Scrap tender	25% of bid value
Performance Security — exemption up to	₹50 lakh contract value
Performance Security — validity beyond all obligations	60 days
Performance Security — submission window	14 to 28 days after award
MSE procurement target	25% (4% SC/ST + 3% Women)
MSE price-matching band	L1 + 15% → supply at least 25%
MSE — payment cycle (MSMED Act)	≤ 45 days; objection within 15 days
MSE — interest on delayed payment	Compound interest @ 3 × Bank Rate
MII — Class-I / Class-II / Non-Local content	≥ 50% / >20% & <50% / ≤ 20%
MII — Margin of purchase preference	L1 + 20%
MII — Local content certification (CA/CMA)	Contracts above ₹10 crore
MII — Penalty for class downgrade	Up to 10% of contract value
MII — Exemption from PPP-MII Order	Below ₹5 lakh
PAC — max. period before mandatory OTE retest	3 years
Option Clause — typical %	± 25% (max 25–30%)
Advance — Private firms	30% of contract value
Advance — Govt agency / PSU	40% of contract value
Advance — Maintenance contracts	Equivalent to 6 months

Parameter	Limit / Value
Liquidated Damages — rate	0.5% per week (max 5%; inordinate 10%)
Inordinate Delay =	> 25% of completion period
Force Majeure — termination after	> 90 days
Annual Procurement Plan — upload on GeM within	30 days of Budget approval
Cash payment limit (LPC purchases)	₹5,000
Annual ceiling for LPC purchases (per office)	₹5 lakh
Imprest for LPC officer	Approx. 2 months' procurement
Disposal — direct sale to scrap dealers (summary)	Up to ₹15,000
Disposal — LTE to local scrap dealers	Up to ₹4 lakh
Disposal — e-auction / public auction	Above ₹4 lakh (e-auction preferred)
Inter-departmental transfer — book value premium	+ 20% (7.5% freight + 12.5% handling)
GTE — Agency commission ceiling	Normally ≤ 5%
Delivery deviation tolerance — month / qtr / year	± 10% / ± 7% / ± 5%
Delay-in-payment threshold (interest @ GPF rate)	> 30 working days

Amendment Timeline (Reverse-Chronological)

16.08.2024 — DoE issues **Manual of Procurement of Goods, 2024 (2nd Edition)**.

07.08.2024 — DoE issues consolidated GFR, 2017 incorporating amendments up to 31.07.2024.

19.07.2024 — DPIIT issues revised **Public Procurement (Preference to Make in India) Order, 2017**.

18.07.2024 — DoE OM No. F.20/42/2021-PPD enhances GFR limits (Rules 154, 155, 161, 162) for Scientific & Educational Institutions.

10.07.2024 — DoE OM No. F.1/3/2024-PPD amends GFRs **133, 139, 149, 154, 155, 161, 162, 173, 183, 201 & 218** — enhanced procurement limits.

01.01.2024 — DoE OM amends **Rule 171(i)** — Performance Security for Goods/Services revised to **3%–5%** (from earlier 5%–10%, then 3%–10%).

03.04.2023 — Earlier amendment to Rule 171(i): performance security 3%–10%.

03.08.2021 — DoE OM — revised consolidated instructions on GTE under Rule 161(iv) up to ₹200 crore.

09.11.2018 — MSME Order: minimum MSE procurement raised from 20% → 25%; Women MSE sub-target of 3% added.

EXAM-FOCUS TIP — Numbers Most Likely to Be Asked

- **Rule 149 GeM slabs:** ₹50,000 / ₹10 lakh — direct, L1-of-3, mandatory bidding.
- **Rule 154 / 155:** ₹50,000 / ₹5 lakh.
- **Rule 161 / 162:** ₹50 lakh threshold.
- **Performance Security (01.01.2024):** 3%–5% Goods/Services, 3%–10% Works.
- **MSE:** 25% target, L1+15% band, 45-day payment, 3× bank rate compound interest.
- **MII:** L1+20% margin (NOT L+10%); Class-I ≥ 50%, Class-II 20%–50%; ₹5 lakh exemption.

Authoritative Sources

1. GFR, 2017 (Compiled — DoE, 07.08.2024) — <https://doe.gov.in/circulars>
2. Manual of Procurement of Goods, 2024 (2nd Edition, 16.08.2024) — DoE.
3. DoE OM No. F.1/3/2024-PPD dated 10.07.2024 — Enhancement of financial limits.
4. DoE OM No. F.1/2/2023-PPD dated 01.01.2024 — Amendment to Rule 171(i).
5. DPIIT Order P-45021/2/2017-PP(BE-II) — PPP-MII Order, 2017 (revised 19.07.2024).
6. MSME Order S.O. 5670(E) dated 09.11.2018 — Public Procurement Policy for MSEs Amendment.
7. DoP Office Memorandum F. No. 6-4/2024-FA(P) dated 03.09.2024 — Compilation of GFR Amendments.

— END OF NOTES —

